

ECOSYSTEM ANALYSIS

Spotify | Research Report

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OUTLINE OF THE MUSIC STREAMING ECOSYSTEM

The Context

The music streaming sector has reshaped how audio content is produced, distributed, and consumed. Digital platforms have replaced physical ownership models with on-demand access, creating complex ecosystems that connect users, creators, rights holders, advertisers, and technology partners. Platforms such as Spotify operate as central coordinators within this ecosystem, enabling large-scale content distribution while facilitating monetisation, discovery, and data-driven engagement.

Rather than functioning as a traditional media distributor, the music streaming ecosystem is built around platform-based interactions, where value is created through network effects, algorithmic curation, and multi-sided revenue models. Spotify is used here as a representative case due to its global reach and mature platform infrastructure.

Ecosystem Component	Role in the Music Streaming Sector	Value Created / Exchanged	Examples
Listeners (Users)	Consume music via free (ad-supported) or paid subscriptions. Engage with playlists and recommendations, generating behavioural data.	Access on-demand music, personalisation, and convenience. Provide subscription fees, ad attention, and usage data.	Spotify free & premium users
Artists & Rights Holders	Supply licensed audio content independently or via labels/distributors. Grant platforms streaming rights.	Gain distribution and monetisation through royalties. Provide content that drives engagement.	Independent artists, major artists (e.g. Drake)
Record Labels & Distributors	Act as intermediaries managing licensing, rights administration, and royalty collection.	Enable scalable distribution and rights management. Receive a share of streaming revenues.	Universal Music Group, Sony Music, DistroKid
Streaming Platform	Hosts content, manages licensing, and curates music through algorithms. Coordinates interactions between ecosystem actors.	Generates revenue from subscriptions and ads. Provides infrastructure, trust, and scalability.	Spotify, Deezer, Apple Music
Advertisers	Purchase ad space in free-tier listening. Target users based on demographics and behaviour.	Access targeted audiences. Fund platform revenue and free-tier model.	Nike, Coca-Cola, Apple
Third-Party Developers & Technology Partners	Extend functionality via APIs, analytics tools, and integrations.	Drive innovation and improve user experience. Create complementary services.	Stats.fm, Soundcharts, Soundiiz
Regulators & Industry Bodies	Oversee licensing, competition, and data protection. Ensure regulatory compliance.	Maintain legal stability and trust. Influence platform governance.	EU Commission, CMA, PRS, ASCAP

OUTLINE OF THE SPOTIFY ECOSYSTEM

Primary Actors

Listeners & Users

- Consume music, podcasts, and audiobooks.
- Generate attention (listening time) and behavioural data.
- Split into ad-supported and premium users.
- Influence discovery through playlists, saves, and sharing.

Artists & Audio Creators

- Supply music and audio content via distributors and rights intermediaries
- Depend on Spotify for reach and discovery
- Access performance insights through analytics tools

Record Labels & Rights Holders

- License music catalogues to Spotify
- Control rights, contracts, and revenue distribution

Advertisers & Brands

- Fund the free tier through targeted advertising
- Use Spotify's user and contextual data for audience targeting

Core Platform

Insight

Spotify acts as the central orchestration layer, hosting audio content, managing discovery through algorithms, and coordinating flows of attention, data, and revenue across the ecosystem.



Technological & Contextual Layer

Devices & Hardware Partners

- Smartphones, computers, smart speakers, wearables, cars, TVs
- Enable continuous listening across environments

Contextual Signals

- Device and location context
- Time and activity patterns
- User profiles and proximity

These signals shape recommendation systems and playlist curation.

Third-Party Ecosystem

Developers & External Services

- Developers & External Services
- Build tools using Spotify APIs
 - Provide analytics, discovery, promotion, and user insights

Regulatory & Industry Environment

Regulatory Bodies

- Copyright and licensing authorities
 - Data protection regulators
 - Competition and digital market regulators
- These actors shape:
- Data usage policies
 - Royalty structures
 - Platform governance

Music Distribution Platforms

DISTROKID **tuneCORE**
cdbaby

- Act as intermediaries between artists/labels and streaming platforms
- Handle uploads, metadata, rights management, and royalty collection
- Shape access to Spotify's catalogue and revenue flows

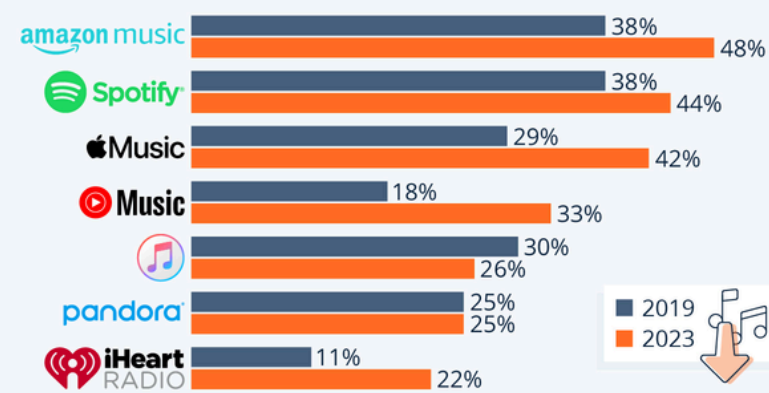
KEY PLATFORMS

The central platform within this ecosystem is Spotify, which operates as a global digital audio streaming service. Spotify enables large-scale access to music and audio content and plays a dominant role in shaping how users discover, consume, and engage with music through algorithmic recommendation and cross-device availability.

Spotify's leading market position, illustrated by its high share of global music streaming users, positions it as a reference point within the industry. As a result, other platforms often define their strategies in relation to Spotify's scale, pricing models, and discovery mechanisms.

Competition Remains Fierce in U.S. Digital Audio Market

Share of U.S. respondents who paid for music downloads/streaming services from the following providers*

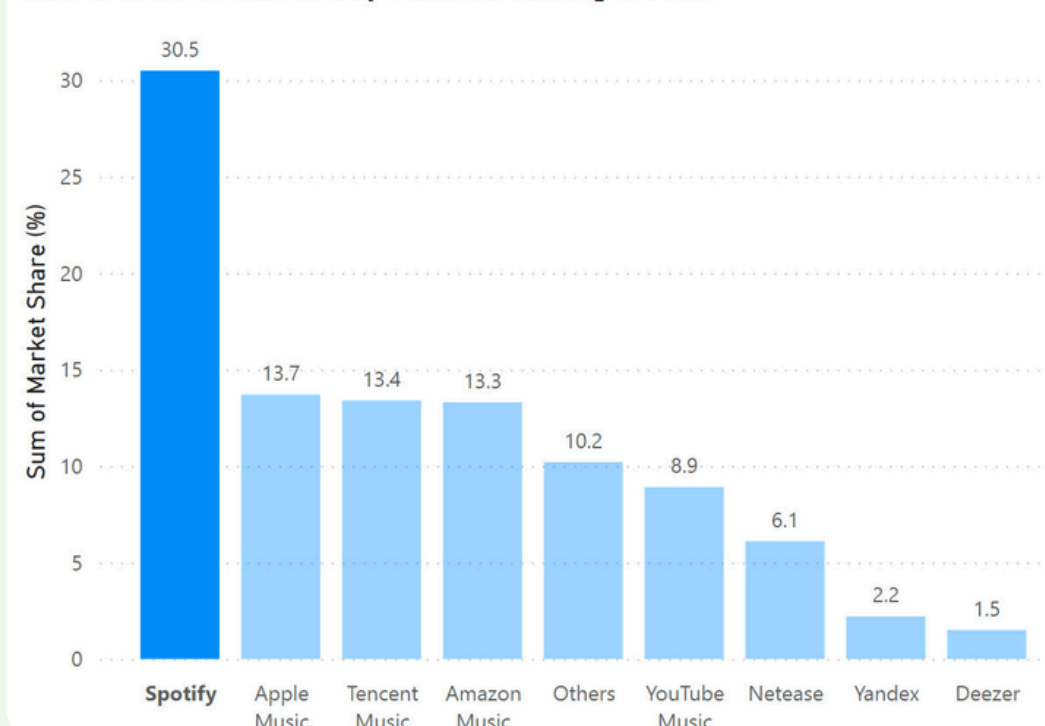


* In the past 12 months
2,000/5,300 U.S. respondents surveyed Jan.-Aug. 2019/Jul. 2022-Jun. 2023
Source: Statista Consumer Insights



statista

Sum of Market Share (%) by Music Streaming Service



Key Competitors:

Apple Music

amazon music

YouTube Music

deezer

These platforms compete directly with Spotify for listeners, licensing agreements, and market share within the global music streaming industry. While each competitor leverages different ecosystem advantages, such as hardware integration, bundled services, or regional strength, Spotify's scale and emphasis on algorithmic discovery position it as a key reference point in shaping competitive strategies across the market.

API'S

Spotify exposes platform data primarily through its Web API and Playback SDKs, as documented on Spotify for Developers, while additional data access is provided through restricted tools such as Spotify for Artists and advertiser-facing services.

Spotify’s Web API and Playback SDKs are free to use for registered developers and do not require a direct financial payment to access music metadata, playlists, or playback functionality. Access is provided through the Spotify for Developers programme and requires developer registration along with OAuth-based authentication.

API usage is subject to platform policies, including rate limits, permission scopes, and compliance with Spotify’s terms of service. While core developer interfaces are openly available, other services such as advertising tools, artist analytics, and commercial hardware integrations are restricted to approved partners despite being officially documented.

This tiered access structure enables Spotify to support third-party innovation while retaining control over sensitive data, monetisation mechanisms, and platform governance.

Spotify API / Interface	Primary Use	Access
Spotify Web API	Access music metadata, playlists, artists, albums, audio features, recommendations, and user libraries	Public developer access via Spotify for Developers (OAuth required)
Web Playback SDK	Enable Spotify playback directly inside web applications	Requires Spotify Premium account and developer registration
iOS SDK	Integrate Spotify playback and user sessions into iOS applications	Requires Spotify developer account and app approval
Android SDK	Enable playback control and authentication in Android apps	Requires Spotify developer account and app approval
Spotify Ads API	Manage advertising campaigns and access ad performance data	Restricted access for approved advertising partners
Spotify for Artists (Data Access)	Provide artists with performance analytics, audience insights, and playlist data	Access limited to verified artists and label partners
Commercial Hardware - Media Delivery API	Deliver Spotify audio streams to embedded and connected hardware devices	Restricted to approved hardware partners
Commercial Hardware -ZeroConf API	Enable device discovery and network-based connection to Spotify services	Restricted to approved hardware partners

3RD PARTY APPS

Third-party applications play a key role in extending Spotify's core platform by building specialised services on top of its APIs. Rather than competing directly with Spotify, these apps typically complement the platform by enhancing discovery, analytics, creator workflows, and promotional activity. Their ability to create value is tightly coupled to the level of access Spotify permits, making them structurally dependent on the platform's technical and governance rules.

Analytics & Insight Tools

- Stats.fm - Visualises personalised Spotify listening data and trends (e.g., top tracks, listening habits, audience segments) through user-facing dashboards. Depends on Spotify's Web API to access user library and listening metadata via OAuth.
- Soundcharts - Monitors streaming performance, playlist placements, and audience metrics across platforms, collecting API-accessible catalogue and popularity data for industry insight.



 Soundcharts

Playlist & Discovery Tools

- Soundiiz - Enables playlist creation, management, and cross-platform transfer by integrating Spotify's playlist and library data.
- Sort Your Music - Organises Spotify playlists using audio feature metadata such as tempo, energy, and danceability.
- Soundplate - Supports playlist promotion and curator discovery by connecting artists with independent Spotify playlist curators through platform-integrated submission tools.



 SOUNDPLATE

Marketing & Promotion Services

- Feature.fm - Connects Spotify releases to external marketing campaigns through smart links, pre-saves, and audience tracking tools that drive traffic and engagement across platforms.
- ToneDen - Automates digital advertising and fan acquisition workflows that direct listeners to Spotify content via targeted social media campaigns and referral tracking.
- PlaylistPush - Facilitates sponsored playlist placements by connecting artists and labels with independent Spotify playlist curators.



Creator & Industry Support Tools

- SubmitHub - Connects artists with playlist curators, blogs, and influencers to facilitate music submissions and discovery opportunities linked to Spotify releases.
- SoundBetter - Provides a marketplace for artists to collaborate with producers, engineers, and other music professionals, operating alongside Spotify's streaming ecosystem.



 SoundBetter

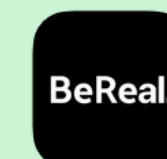
Industry & Distribution Support

- DistroKid - Distributes music to Spotify and manages metadata, rights registration, and royalty routing for independent artists.
- TuneCore - Provides digital distribution and rights administration services that enable artists and labels to deliver content to Spotify at scale.
- CD Baby - Provides digital music distribution, rights administration, and royalty collection services that enable independent artists to deliver content to Spotify and other streaming platforms.

 DISTROKID  tuneCORE

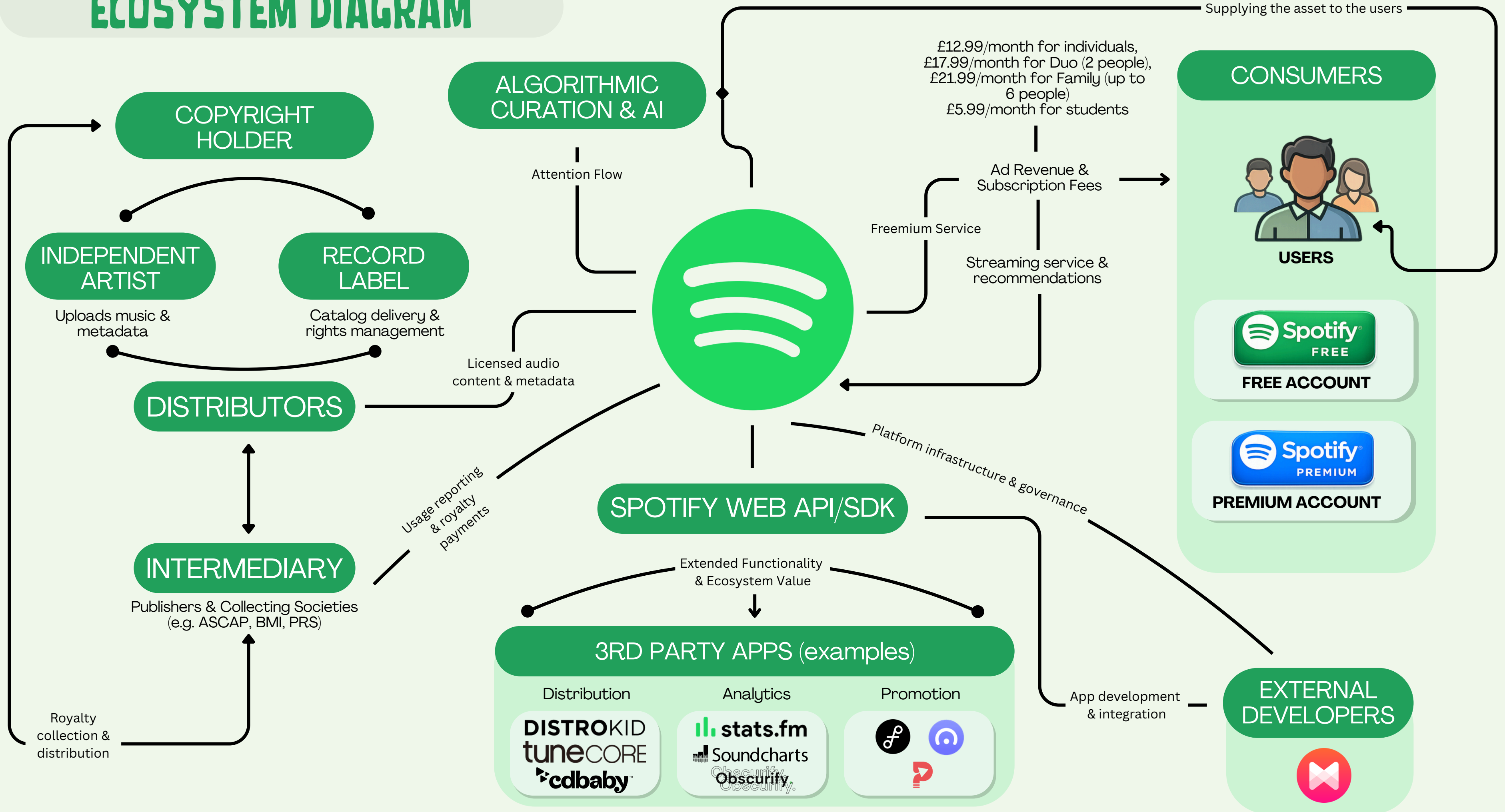
Social & Experience Extensions

- Discord Spotify Integration - Displays listening activity and presence within social communities.
- BeReal - Encourages spontaneous social sharing of Spotify listening activity and music experiences, contributing to cultural engagement around content.
- Last.fm - Records Spotify listening activity and enables social comparison, charts, and community interaction around music taste.



 last.fm

ECOSYSTEM DIAGRAM



CONSUMER TRENDS

AI-Driven Personalisation

Consumers increasingly expect personalised content when using digital media platforms. Streaming services analyse listening behaviour and preferences to recommend music tailored to each user.

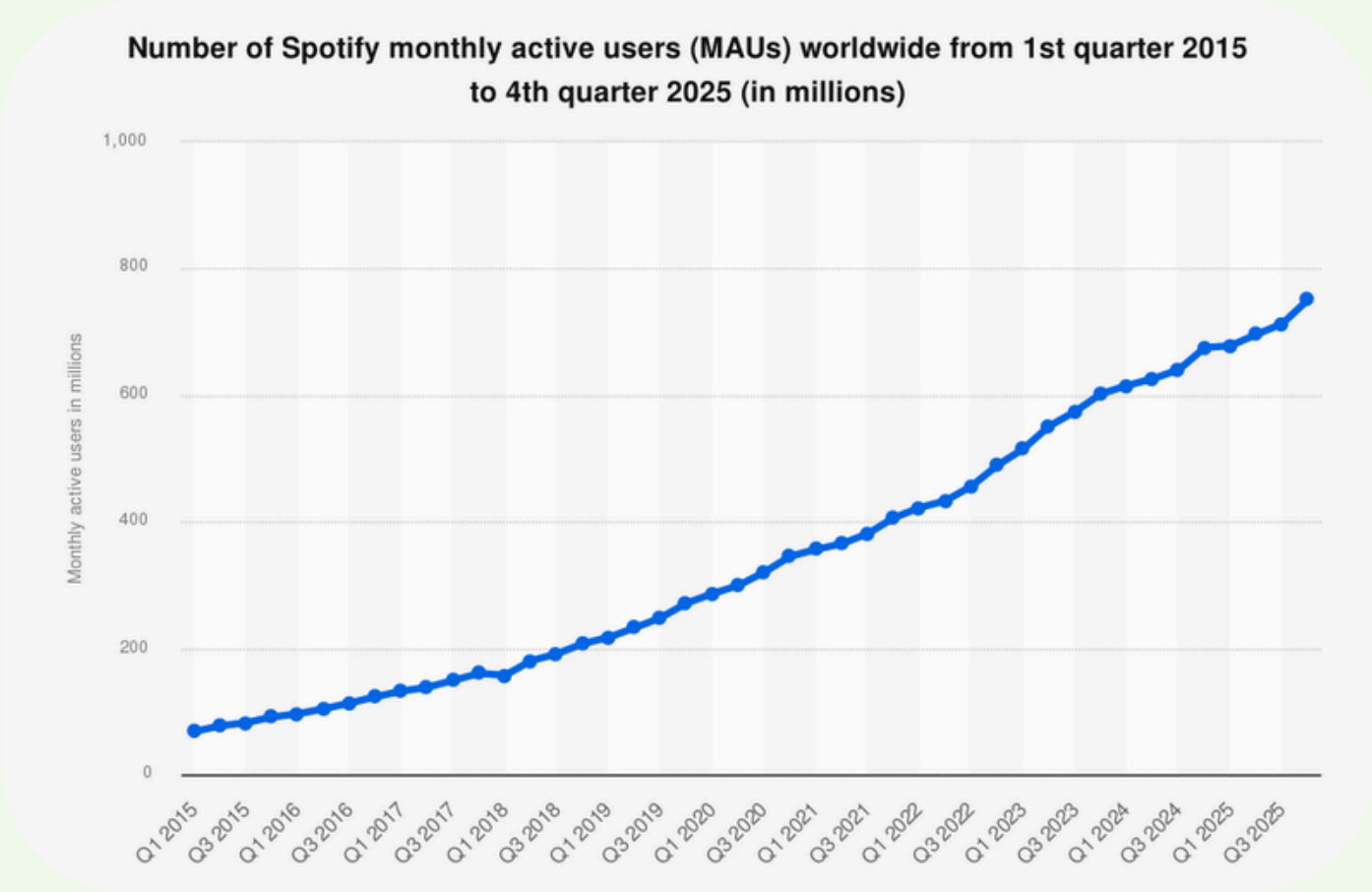
Platforms such as Spotify use artificial intelligence and machine learning to generate personalised playlists such as Discover Weekly, helping users discover music based on their listening history (Barques, 2024).

Social Media Music Discovery

Social media platforms are increasingly shaping how audiences discover new music. Short-form video platforms such as TikTok expose users to music through viral clips, trends, and creator content before listeners access full songs on streaming services such as Spotify.

Recent research shows that TikTok is the top music discovery method for 16–24-year-olds, followed by YouTube and streaming platforms, highlighting the growing influence of social media in the music discovery process (MIDiA Research, 2025).

This shift changes the structure of the music ecosystem, as artists and record labels increasingly prioritise social media promotion strategies to generate viral exposure and drive traffic toward streaming platforms.



Growth of Music Streaming

Music consumption has increasingly shifted from physical formats and downloads toward on-demand streaming platforms. This transition has transformed how audiences access, discover, and share music in the digital ecosystem.

Recent data shows that Spotify reached 751 million monthly active users worldwide in 2025, including 290 million paying subscribers, representing an 11% year-on-year increase in global users (Statista, 2026). The rapid growth of streaming platforms highlights how subscription-based digital services have become the primary channel for music consumption, strengthening the role of streaming platforms within the global music ecosystem.

TECHNOLOGICAL TRENDS

AI DJ and Conversational Music Curation

Streaming platforms are increasingly integrating artificial intelligence to personalise how users discover music. Spotify introduced AI DJ, a feature that acts as a personalised guide by selecting songs based on a listener's taste and providing spoken commentary about the tracks and artists being played (Spotify, 2023).

Spotify has also introduced AI-generated playlists, allowing users to create customised mixes using prompts that combine genres, moods or activities. These tools rely on Spotify's personalisation technology and listening data to curate music experiences tailored to each user (Spotify, 2023).



Audio Analysis & Machine Learning

Streaming platforms rely on machine learning and large-scale data analysis to understand both user behaviour and the characteristics of songs. Spotify analyses audio features such as tempo, rhythm, mood and genre to categorise tracks and improve recommendation accuracy. By combining these audio features with listening behaviour data, Spotify can match songs with listeners more effectively and enhance music discovery across the platform (Spotify Engineering, 2023).

AI-Generated Music

Generative AI tools are increasingly being used to produce music that can be uploaded directly to streaming platforms. This technology allows large volumes of songs to be generated quickly, often by automated systems or “fake artists”.

Reports suggest that AI-generated music is rapidly increasing on streaming platforms, with some tracks created entirely by artificial intelligence gaining significant streaming numbers (Music Business Worldwide, 2025).

This development raises concerns within the music industry, as AI-generated content may compete with human artists for visibility, streams and royalty revenue on platforms such as Spotify.

PLATFORM STRATEGIES



Premium Experience & Audio Quality

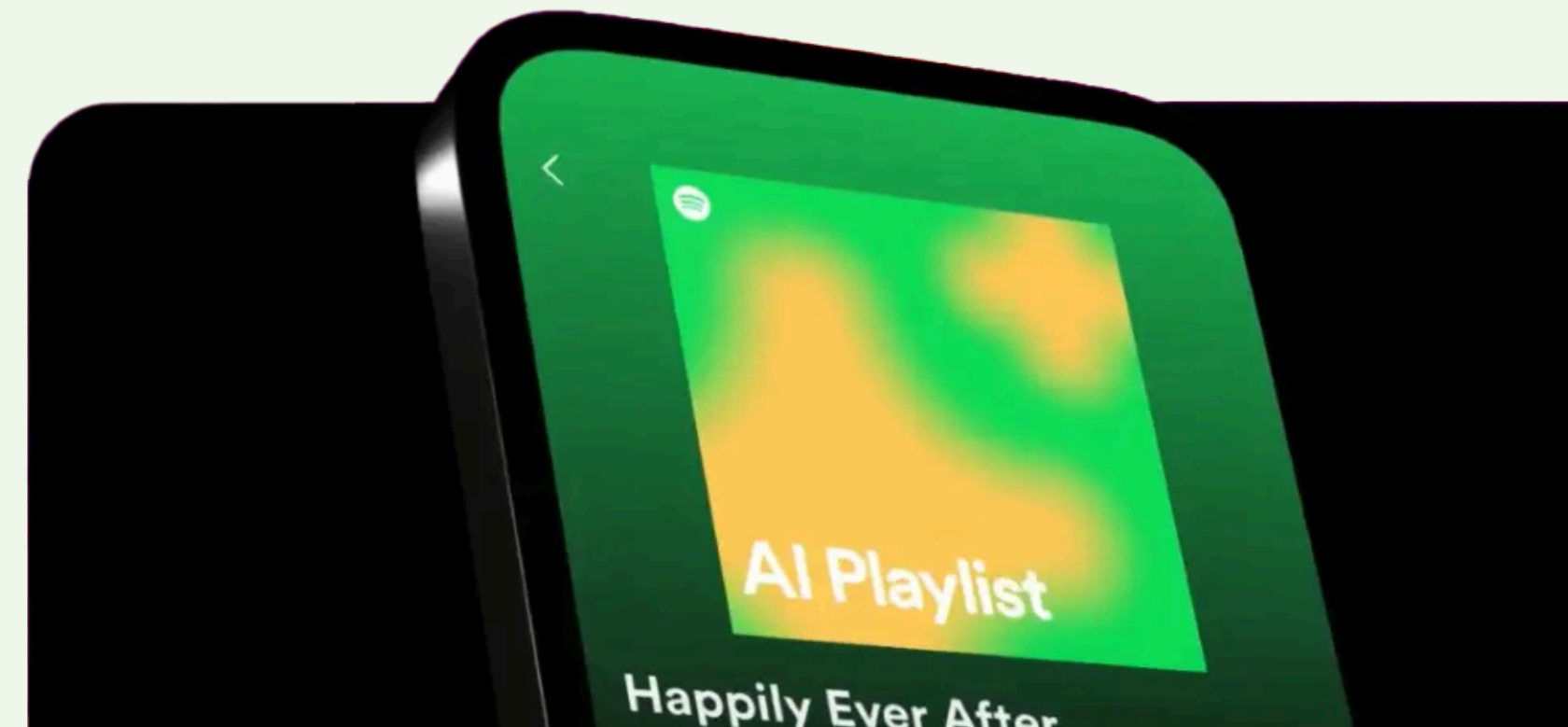
Spotify is strengthening its Premium offering through the introduction of lossless audio streaming, allowing users to listen to music in higher-fidelity formats. Introducing lossless audio reflects Spotify's strategy to increase the value of its paid subscription and compete with rival streaming platforms such as Apple Music and Tidal, which already offer high-quality audio (The Independent, 2025).

Expansion into Audiobooks

Spotify is expanding interactive recommendation tools such as "Prompted Playlists", allowing users to create playlists using natural-language prompts based on mood, activities, or personal listening history (Söderström, 2025)

AI-Driven Audio Discovery

Spotify is investing heavily in artificial intelligence to improve how users discover music and audio content. According to Daniel Ek, co-founder and CEO of Spotify, AI will help the platform better understand listener behaviour and deliver more personalised recommendations across music, podcasts and audiobooks (Synergy FM, 2025).



DISRUPTORS

AI Generated Music

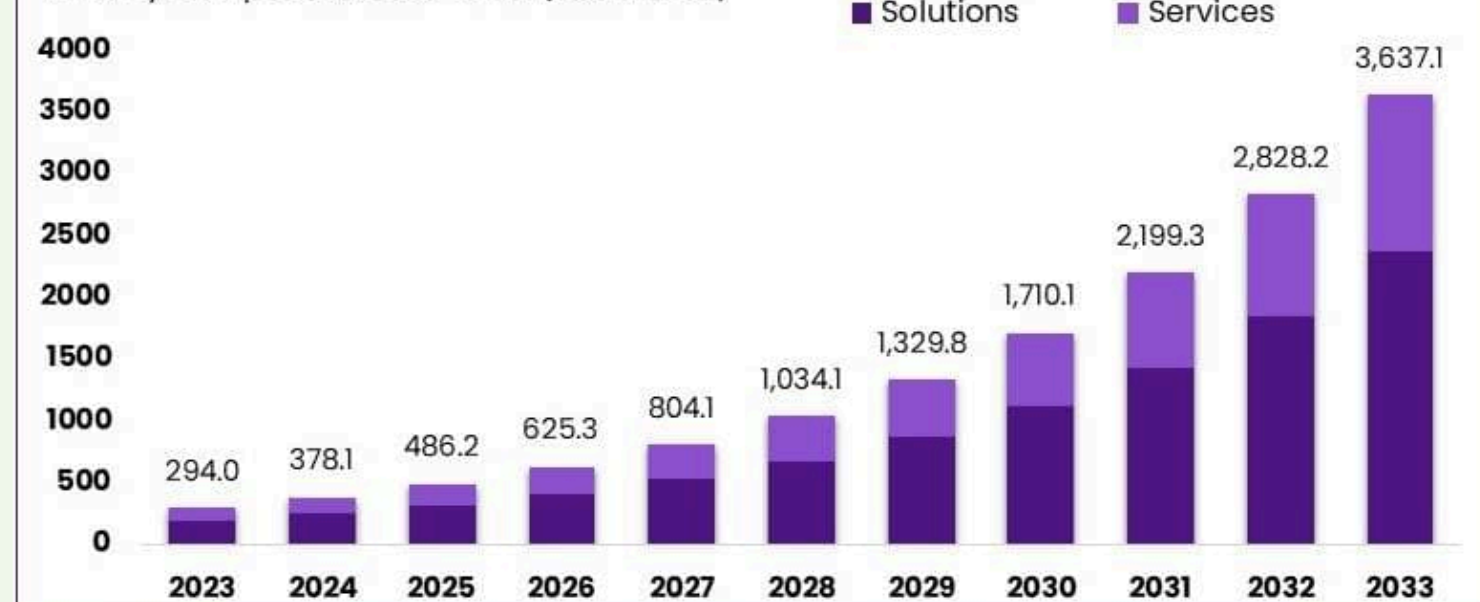
Generative artificial intelligence is increasingly being used to produce music, lowering the barriers to music creation and enabling large volumes of tracks to be generated automatically.

Recent forecasts suggest that the global generative AI music market will grow from approximately \$294 million in 2023 to \$3.6 billion by 2033, representing an annual growth rate of 28.6% (Market.us, 2024).

As AI-generated music becomes more common, streaming platforms such as Spotify may face challenges related to content oversupply, copyright ownership, and royalty distribution, potentially reshaping how music is produced and monetised within the ecosystem.

Global Generative AI in Music Market

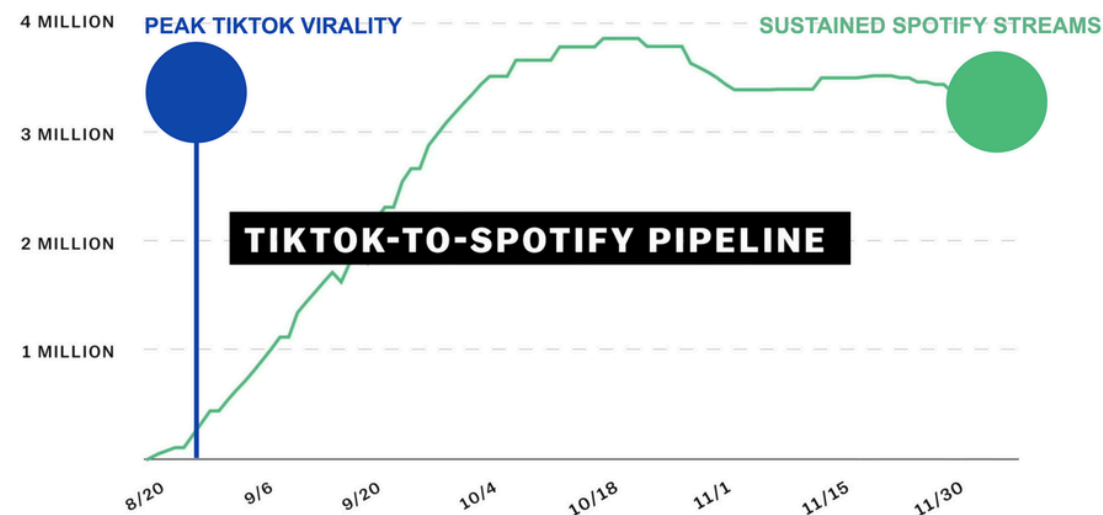
Size, by Component, 2023-2033 (USD Million)



The Market will Grow at the CAGR of: **28.6%** The Forecasted Market Size for 2033 in USD: **\$3,637.1M** market.us

JVKE SPOTIFY MONTHLY LISTENERS

AUGUST-DECEMBER 2020



Short-Form Video Platforms

Platforms such as TikTok are increasingly shaping how audiences discover new music before listening on streaming services.

Research shows that around 75% of TikTok users discover new music through the platform, highlighting its growing role in the music discovery process (TikTok, 2023). This shift changes the music ecosystem because social media platforms influence which songs become popular, reducing the control streaming platforms like Spotify have over music discovery.

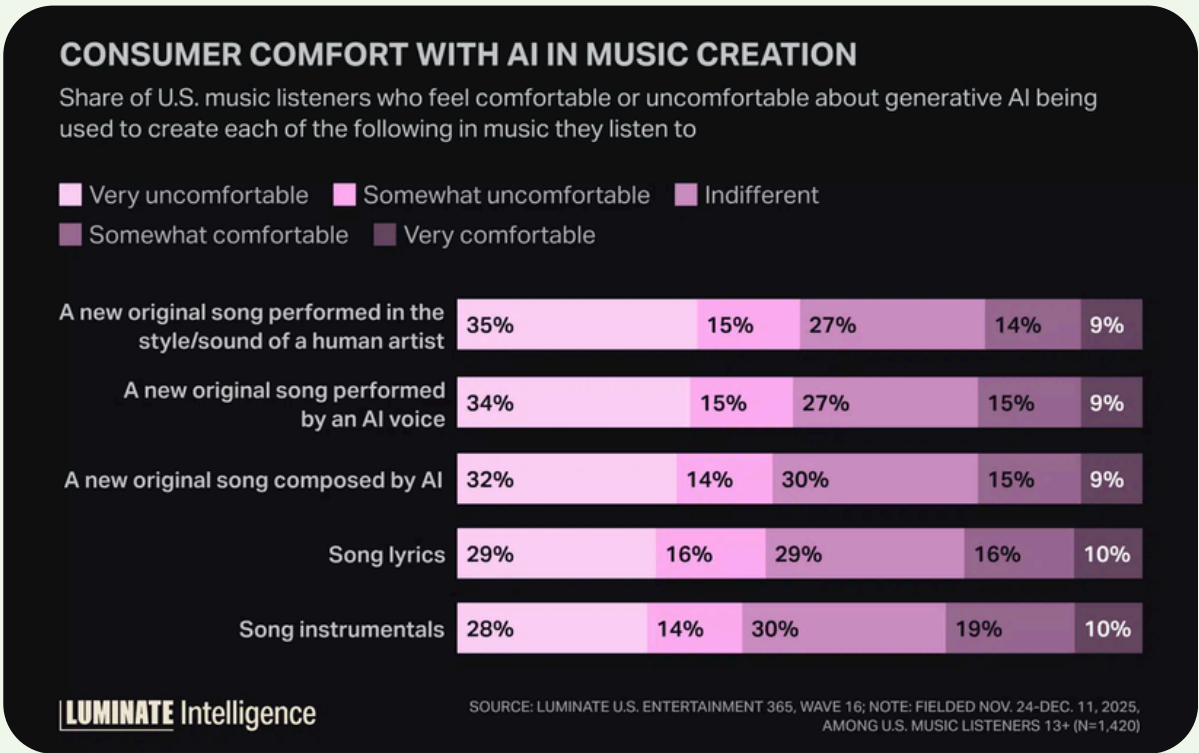
HOW MIGHT THE ECOSYSTEM CHANGE?

Changing Dynamics of Visibility and Trust

As the ecosystem evolves, visibility is likely to become more dependent on platform systems rather than purely user choice. Algorithms will continue to shape what users listen to, influencing both discovery and artist exposure.

At the same time, the growth of AI-generated music is likely to increase the volume of content on the platform, making it harder for individual tracks to stand out. This creates clear challenges for creators, with 66% stating that AI poses a threat to their careers (UK Music, 2025). It may also affect users, as research shows increasing discomfort with AI-generated music, particularly when it is not clearly labelled (Luminate, 2025).

As a result, platforms may need to adapt by improving how content is managed, identified, and recommended.



Shift Towards Social-Driven Music Discovery

The way music is discovered is likely to shift away from streaming platforms and towards social and short-form content platforms. These platforms are increasingly becoming the first point of contact between users and music, influencing chart performance and streaming activity (Data Art, 2025).

This suggests that streaming platforms may no longer fully control discovery, as visibility is shaped by a wider digital environment. As a result, the ecosystem is likely to become more interconnected, where external platforms play a central role in driving engagement and success.

Key Findings of the Music Impact's Report

84%

84% of songs that entered the Billboard Global 200 in 2024 went viral on TikTok first

48%

U.S. TikTok users spend 48% more time streaming music audio than the average U.S. music listener

74%

U.S. TikTok users are 74% more likely to discover and share new music on social and short-form video (SFV) platforms than the average user of these platforms

68%

U.S. music listeners who use TikTok are 68% more likely to use a paid-for music streaming service than the U.S. general population

62%

TikTok users in the U.S. spent 62% more money on artist merchandise than the average U.S. music listener

2X

U.S. TikTok users are nearly twice as likely to be music super fans than the U.S. general population

+11%

Artists whose TikTok engagement is highly related to their music streaming volumes experience an average of 11% weekly streaming growth compared to just 3% growth among artists whose streaming is less-related to TikTok activity

OPPORTUNITIES

What is Spotlight?

Spotlight is a companion app that connects to Spotify through its Web API to improve transparency in music discovery. It analyses metadata and listening patterns to estimate whether tracks may be AI-generated, helping users better understand the content they encounter.

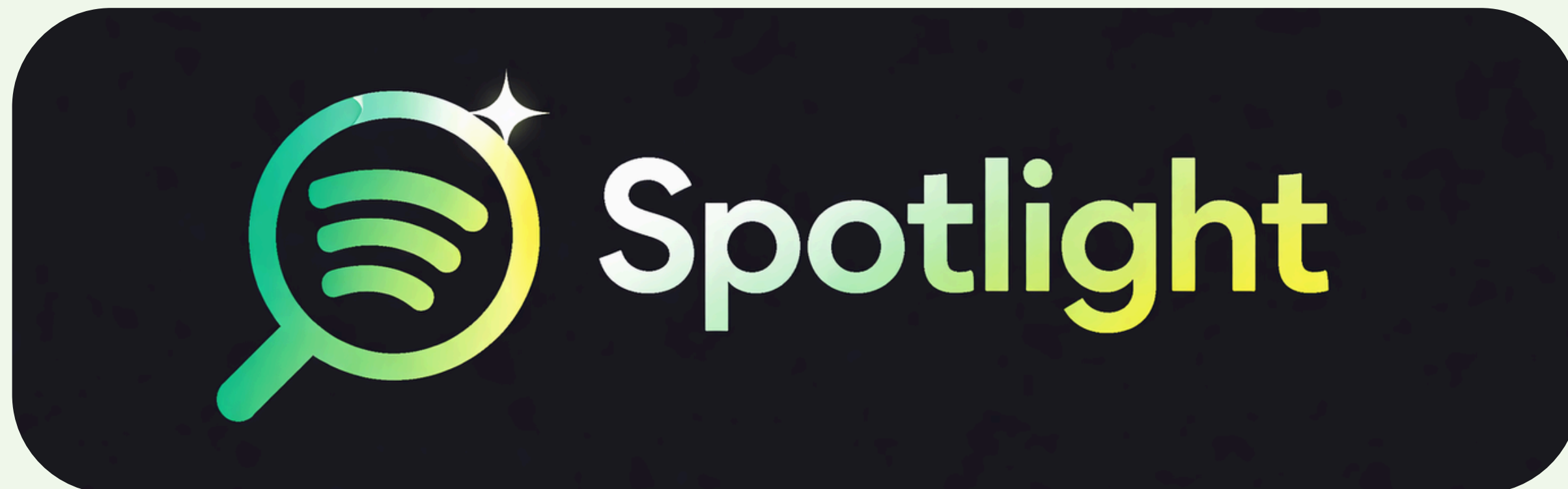
How it works

Spotlight uses Spotify's Web API to access track and artist metadata such as release patterns, catalogue size, and behavioural signals. These indicators are processed using AI-assisted classification models to generate an AI-likelihood signal, which can be displayed to users or used to filter recommendations.

Importantly, the system does not analyse Spotify audio files directly, ensuring compliance with Spotify's developer policies.

Why it matters

As AI-generated music becomes more common, discovery systems may struggle to distinguish between human and automated content production. Spotlight introduces an additional transparency layer within the ecosystem, giving listeners greater awareness and control while maintaining the open nature of the platform.



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